INDICATIVE COMPETING TERM SHEET

Status

Non-binding competing proposal; not executed by the Company.

Closing, Conditions, and General Terms

Term Sheet Northgate Crossing COMPETING addresses closing deliverables, required corporate and class approvals, definitive-document preparation, expenses, confidentiality, exclusivity, governing law, counterpart execution, and expiration.

Draft, redline, competing, exhibit, and executed materials retain distinct status; only the properly signed instrument governs according to the review protocol.

No illustrative capitalization schedule changes an operative provision in the document body without the approvals and amendment process stated there.

Letter to the Board of Directors - our purpose in writing

We are writing to set out an indicative proposal under which funds managed by Northgate Crossing Partners would lead a preferred equity financing of Helioscope Robotics, Inc. We understand the Company is in discussions with another firm. We are not asking the Company to break off those discussions, and we have deliberately made this Proposal capable of being evaluated alongside them.

We have followed the warehouse robotics sector for several years and have met the founding team twice. Our interest is in the orchestration software rather than in the hardware alone, and our view of the Company's value rests on the software's ability to coordinate a mixed fleet in facilities the Company does not itself equip. That view shapes the terms we have proposed and the review we would need to complete.

This Proposal is not binding. It reflects the view of the deal team that has met the Company and it is subject to the approval of our Investment Committee after a Confirmatory Review. We say plainly where our position is firm and where it is not, because we would rather be held to a narrow commitment we can keep than a broad one we cannot.

Letter - our fund, our stage focus and our conflicts

The investing vehicle would be our current growth fund, which invests in industrial automation and logistics software at the stage the Company has reached. We invest from a single fund rather than across a family of vehicles, so the Company would deal with one investor rather than with several affiliated entities holding fractions of a position.

We hold two positions in adjacent sectors that we should disclose. One is a warehouse execution software business that sells to some of the same distribution operators the Company sells to, although it does not supply robots. The other is a components supplier that the Company does not currently buy from. Neither company sits on our investment committee and we would not place a director who serves either of them on the Company's board.

We would expect to give the Company the usual information undertaking about our own portfolio: we do not share a portfolio company's confidential information with another portfolio company, and we do not use board materials in the diligence of a competing investment. We are willing to record that undertaking in the definitive documents rather than leave it as a statement in this letter.

Letter - how we would work with the existing investors

We have read the Company's charter and its existing stockholder agreements in the form the Company provided to us. Our reading is that this financing requires the consent of more than one existing series, and that at least one of those consents is not a formality. We would want the Company to run that consent process itself, and we would not ask an existing investor to waive a right in our favour as a condition of our own participation.

We would expect the existing leads to have the opportunity to participate alongside us. Our Proposal does not require that they do so, and it does not reduce our own commitment if they decline. We would ask only that the Company

tell us before signature which existing holders intend to participate, so that the register we sign against is the register that exists at Completion.

We are aware that the Company has a strategic investor with an observer arrangement. We have no objection to that arrangement continuing. We would ask that the observer be excluded from any session in which the board discusses a matter affecting a competitor of that investor, which we assume is already the practice.

Letter - what we are not asking for, and why

We have not asked for a redemption right. In our experience a redemption right complicates a later financing and a later debt facility without protecting the Investor Group in the case that actually matters, which is a company that is neither growing nor failing. We would rather have a shorter protective provision list we can enforce than a redemption right we would never exercise.

We have not asked for participation on top of the liquidation preference. Our modelling of the outcomes we think are realistic for this Company shows that participation changes our return materially only in a narrow band of exit values, and that in the same band it changes the founders' incentives considerably. We would rather have the alignment.

We have not asked for a break fee, and we do not ask the Company to reimburse our costs unless the financing completes. We think a firm that needs a break fee to be taken seriously has not made a serious proposal. We have asked for exclusivity, but for a shorter period than we understand is on the table elsewhere, and we are willing to waive it if the Company tells us it is an obstacle.

We have not asked for a pay-to-play provision. If we do not fund our share of a later round we accept that we should be diluted like anyone else, and we would rather not sign a provision that punishes an existing investor for a decision its own fund cycle may force on it.

Annex 1, Part A - Economic Terms: A.1 the instrument and a single Completion

A.1 The Investor Group would subscribe for preferred interests in the Company, to be designated in the definitive documents as a new series of preferred stock, at the subscription price and for the aggregate amount stated in the pricing summary delivered with this Proposal. The designation is left to the Subscription Agreement because the Company's existing series may require a designation that its charter does not presently contemplate.

A.2 The whole of the Investor Group's commitment would be funded at a single Completion. We do not offer a tranched structure and we do not offer an unfunded commitment held open against a milestone. Our reason is that a tranche conditioned on an operating metric transfers the risk of a soft quarter from the investor to the Company at the moment the Company can least absorb it, and in our experience the metric is renegotiated rather than tested.

A.3 The subscription price is derived from the pre-money valuation stated in the pricing summary and the fully diluted capitalization determined under A.4. It is the same price for every member of the Investor Group and there is no discount, fee or other accommodation for any participant, including for us as lead.

Annex 1, Part A - A.4 capitalization and the management incentive reserve

A.4 The fully diluted capitalization used to derive the subscription price includes the outstanding common stock, the common stock issuable on conversion of each existing preferred series, the common stock issuable on conversion of each convertible instrument that converts at Completion, the shares subject to outstanding awards, and the shares presently reserved and unissued under the Company's incentive plan.

A.5 It does not include an increase in the incentive reserve. This is a deliberate difference from the way this financing is usually proposed. We would ask the board to size the reserve increase after Completion, against the hiring plan it then has, and we would support the increase through the protective provision in B.3 rather than fix a number in this Proposal that neither of us can presently justify.

A.6 The consequence for the Company is that the reserve increase dilutes the Investor Group as well as the existing holders, rather than being priced into the pre-money capitalization. We have taken that into account in the valuation stated in the pricing summary, and we would ask the Company to compare the two proposals on that basis rather than on the headline valuation alone.

Annex 1, Part A - A.7 to A.9 preference, dividend and anti-dilution

A.7 On a liquidation or a sale of the Company, the preferred interests would carry a non-participating liquidation preference equal to the multiple of the subscription price stated in the pricing summary, plus any accrued dividend, with a conversion election so that a holder takes the greater of its preference and what it would receive on conversion. There is no participation after the preference and there is therefore no cap to negotiate.

A.8 A cumulative dividend would accrue on the subscription price at the rate stated in the pricing summary. It would not compound, and it would be payable only on a Completion of a sale of the Company or on a liquidation, being added to the preference amount at that time. It is not payable in cash while the Company is independent and it is not payable in shares.

A.9 Anti-dilution protection would be a broad-based weighted average adjustment applying for the life of the series, with the carve-out list attached to the pricing summary. We do not ask for a ratchet, and we do not ask for a formulation that changes over time. Our experience is that a formulation which varies by period is administered incorrectly by the second financing after it is signed.

Annex 1, Part A - A.10 syndication and the composition of the Investor Group

A.10 We would reserve the right to allocate part of our commitment to co-investors, which for this purpose means the named affiliates listed in the pricing summary and any limited partner of our fund that we invite. Allocation to a named affiliate would not require the Company's consent; allocation to any other party would.

A.11 Syndication would not change the aggregate amount funded at Completion, the subscription price, or the governance rights described in Part B, all of which attach to the Investor Group as a whole and are exercised by us as its representative. A co-investor would sign the same Subscription Agreement and would not receive a side letter.

Annex 1, Part B - Governance: B.1 board designation and observation

B.1 The Investor Group would be entitled to designate one member of the board of directors for so long as it holds the interests stated in the pricing summary, and to appoint one observer who would attend in a nonvoting capacity. We do not ask for a second designation right and we do not ask for a right to designate a majority in any circumstance.

B.2 The designee would be a partner of Northgate Crossing Partners rather than an external nominee, and would serve on the audit committee if one is formed. We would ask that the board's authorized size be fixed in the definitive documents and that our designation right survive an increase in that size, which is the only board provision on which our position is firm.

B.3 We would expect the board to meet on a regular cycle with materials circulated in advance, and we would expect the annual operating plan to be approved by the board. We do not ask for a protective provision over the plan itself. A board that cannot approve its own plan is not a board we would want to join.

Annex 1, Part B - B.4 protective provisions, deliberately shorter than market

B.4 The actions requiring the consent of the Investor Group would be: an amendment to the charter that adversely affects the preferred interests; the creation of a security senior to or equal with them; a liquidation, dissolution or sale of the Company; a dividend or distribution other than as A.8 permits; a repurchase of equity other than at cost from a departing service provider; an increase in the incentive reserve; the incurrence of indebtedness above the threshold stated in the pricing summary; and a transaction with an affiliate of the Company or of a significant holder.

B.5 The list is shorter than the list we understand is proposed elsewhere. It does not include the annual budget, the hiring or termination of executives, the formation of a subsidiary, capital expenditure, or a change in the Company's line of business. We have left those out because we regard them as board matters, and because a consent list that reaches operating decisions produces a company that asks permission instead of managing.

B.6 We would ask that the consent be given by us as representative of the Investor Group rather than by a vote of the series, so that the Company has one counterparty for consents. We would give or refuse a consent within the period stated in the pricing summary, and a failure to respond within that period would count as a consent given.

Annex 1, Part B - B.7 information, reporting and access

B.7 The Investor Group would receive audited annual statements, unaudited quarterly statements, the annual operating plan as approved by the board, and a current capitalization summary. We do not ask for monthly management accounts. We would rather receive a quarterly package the Company stands behind than a monthly one prepared to meet an obligation.

B.8 We would ask for the right to speak to the Company's auditors and to its accounting staff, with the Chief Executive Officer informed in advance, and for access to the facility on reasonable notice. We would give the confidentiality undertaking described in the letter above, and we accept the trade secret and privilege limits the Company's counsel proposes.

Annex 1, Part C - Investor Protections: C.1 founder arrangements

C.1 The founders' existing awards would continue to vest on their existing schedules. We do not ask for re-vesting. Our reason is that the founders have already accepted a schedule, that re-vesting at each financing teaches a founding team to treat its equity as perpetually at risk, and that the alignment we want is better served by the reserve increase described in A.5.

C.2 We would ask that the acceleration provisions in the existing award agreements be conformed to a double trigger if they are not already, that each founder be party to a confidential information and invention assignment agreement, and that the two missing contractor assignments identified in Annex 3 be obtained before Completion.

C.3 We would ask for a non-solicitation undertaking from each founder covering employees and customers, on the terms in the existing award agreements if those terms are adequate. We do not ask for a non-competition undertaking, which we do not believe is enforceable where the Company's engineering team is located.

Annex 1, Part C - C.4 participation, transfers and registration

C.4 We would ask the Company for a letter recording its expectation that the Investor Group be offered its proportionate share of a future issuance. The letter would not be binding on either side and would not appear in the charter. We prefer an expectation the Company honours to a right the Company resents, and we would not treat a failure to offer as a breach.

C.5 Transfers of interests by the founders would remain subject to the existing right of first refusal and co-sale arrangements, which we have read and do not propose to amend. We would join the existing agreement by a joinder rather than ask the Company to restate it, which we think is the faster path to signature.

C.6 Registration rights would be piggyback rights only, on the terms customary for a holder of our size, with the detail left to the definitive documents. We do not ask for a demand right. A demand right for a single holder in a company of this size is not exercisable in practice and its presence complicates every subsequent financing.

Annex 1, Part D - Process: D.1 Confirmatory Review

D.1 Our Confirmatory Review is set out in Annex 3, which lists each workstream, the reviewer who would lead it, the materials we have requested and the open point we presently have on it. We have already identified the open points from the material the Company gave us, so the Annex is a statement of where we are rather than a generic request list.

D.2 We would run the Review with our own investment team, our external robotics adviser, an external tax adviser and counsel to the Investor Group. We do not propose to commission a quality of earnings report. We would ask the Company to reconcile its equity ledger to its certificate register before we begin the equity administration workstream, because we do not want our counsel to spend the Company's money reconstructing a register.

D.3 We would expect the Review to be complete before the Investment Committee session described in D.4 and we would not ask the Company to sign before that session. If the Review discloses a matter that changes our view of value, we would tell the Company promptly and in writing rather than reserve the point until signature.

Annex 3 - Confirmatory Review workstreams and materials requested

Workstream	Lead reviewer	Materials requested	Access route	Open point
Commercial and pipeline	Investment team	Signed contracts, pipeline	Data room and one	Pipeline conversion

Workstream	Lead reviewer	Materials requested	Access route	Open point
		by stage, win and loss notes	working session	assumptions not yet evidenced
Customer concentration	Investment team	Revenue by account, renewal history, churn analysis	Data room extract plus reference calls	Two accounts represent most of the recurring base
Product and engineering	External robotics adviser	Architecture notes, roadmap, defect backlog	On-site session with engineering leads	Roadmap dependencies on a single supplier module
Robotics safety certification	External robotics adviser	Certification file, test reports, incident log	Data room, certification body correspondence	One incident closed without a documented root cause
Supply chain	Investment team	Supplier list, purchase terms, lead time history	Data room and supplier calls if permitted	Single-source components not yet dual-sourced
Manufacturing and quality	Investment team	Yield data, rework rates, warranty accruals	On-site visit to the assembly area	Warranty accrual method not yet explained
Field service operations	Investment team	Service ticket data, engineer utilisation, contract terms	Data room and one session	Service margin by contract type not available
Software licensing and open source	Counsel to the Investor Group	Open source inventory, licence obligations, scan reports	Data room	No scan performed on the orchestration codebase
Intellectual property	Counsel to the Investor Group	Patent and application list, assignments, freedom to operate	Data room and counsel call	Two assignments from early contractors missing
Employment and contractor classification	Counsel to the Investor Group	Employee list, contractor agreements, classification analysis	Data room	Field contractors classified without written analysis
Equity administration	Counsel to the Investor Group	Ledger, certificate register, award agreements, plan documents	Platform read-only access requested	Ledger and register do not presently agree
Convertible instruments	Counsel to the Investor Group	Each note and future equity agreement with amendments	Data room	Conversion basis not documented instrument by instrument
Financial statements	Investment team	Audited statements, management accounts, trial balance	Data room	Prior year adjustment not yet explained
Revenue recognition	Investment team	Policy memorandum, contract mapping, deferred balance detail	Data room and accountant call	Installation revenue timing under review
Tax	External tax adviser	Returns, provision workings, nexus analysis	Data room	State nexus review not started
Insurance	Investment team	Policy schedule, claims history, broker letter	Data room	Product liability limits appear low for the deployed fleet
Litigation and disputes	Counsel to the Investor Group	Litigation list, demand letters, settlement agreements	Data room and counsel call	One customer dispute described only orally
Data protection	Counsel to the Investor Group	Processing inventory, customer data terms, incident log	Data room	Video data retention practice not documented
Export controls and trade	Counsel to the Investor Group	Classification analysis, shipment records	Data room	Classification for the international pilot not confirmed
Real property and facilities	Investment team	Leases, sublease consents, expansion options	Data room	Assembly lease expiry earlier than the plan assumes

Annex 1, Part D - D.4 Investment Committee approval and conditions

D.4 This Proposal is subject to the approval of our Investment Committee following the Confirmatory Review. That approval is a genuine condition and we will not represent otherwise. The deal team supports the investment and has taken the Proposal to the Committee once already, on a preliminary basis, with a favourable response.

D.5 The remaining conditions to Completion would be the execution of the definitive documents, the filing of the amended charter, the receipt of every existing investor consent the Company's charter requires, the delivery of the disclosure schedules, the conversion of the outstanding convertible instruments in accordance with their terms, the absence of a material adverse change, and the availability of the private placement exemption on which the issuance would rely (15 U.S.C. § 77d(a)(2)).

D.6 We would not make the reconciliation of the equity ledger a condition, provided it is complete before the Subscription Agreement is signed. We would make the two missing contractor assignments a condition, because an assignment obtained after Completion is obtained from a person who knows we need it.

Annex 1, Part D - D.7 timetable and the sequence we would follow

D.7 Annex 2 sets out the sequence we would follow from acceptance of this Proposal to the post-Completion filings, with the owner of each milestone and the dependency that gates it. We have stated the working assumption behind each milestone rather than a date, because a dated timetable in a proposal is a source of argument and not of speed.

D.8 The sequence assumes that the Company reuses the data room it has already built rather than building another, that counsel to the Investor Group drafts from our house form, and that the Company runs its own consent process. If the Company would rather its own counsel drafted, we have no objection, and we would expect the timetable to be unchanged.

D.9 We have assumed that the Company's board can consider this Proposal within the week following its delivery. If the Company needs longer we would rather extend the expiration in D.12 than have the board consider it in a hurry.

Annex 2 - Indicative timetable to Completion

Milestone	Owner	Dependency	Working assumption
Acceptance of this Proposal	Company	Board consideration of the Proposal	Board meets within the week following delivery
Data room opened to our review team	Company	Acceptance of the Proposal	Existing data room is reused rather than rebuilt
Management sessions on product and operations	Company	Data room access	Two sessions with the founding team, one on site
Customer reference calls	Northgate Crossing Partners	Company introductions	Four accounts, two of them multi-site
Technical and safety review	Counsel to the Investor Group	Certification file and incident log	Reviewed by our external robotics adviser
Financial and accounting review	Northgate Crossing Partners	Audited statements and management accounts	No quality of earnings report commissioned
Equity administration review	Counsel to the Investor Group	Ledger, register and instrument files	Company reconciles the ledger before we begin
Legal review of contracts and intellectual property	Counsel to the Investor Group	Contract inventory	Sample-based review of standard form contracts
Confirmatory Review complete	Northgate Crossing Partners	All workstreams reported	No workstream left open at this milestone
Investment Committee session	The Investment Committee	Confirmatory Review complete	Committee meets on its regular cycle
Final approval communicated to the Company	Northgate Crossing Partners	Investment Committee approval	Communicated in writing, not by telephone
First draft of the Subscription Agreement	Counsel to the Investor Group	Final approval	Drafted from our house form, not yours
Charter and ancillary documents circulated	Counsel to the Investor Group	Subscription Agreement first draft	Ancillaries follow the Subscription Agreement
Existing investor consents solicited	Company	Charter circulated	Company runs the consent process itself
Disclosure schedules delivered	Company	Subscription Agreement first draft	Delivered in one package rather than in parts
Signature of the definitive documents	Company and Investor Group	Consents obtained and schedules agreed	Signed by electronic execution
Completion and funding in a single payment	Investor Group	Signature and charter filing	One payment, no tranching
Post-Completion filings and register updates	Company	Completion	Company instructs its own transfer agent

Annex 1, Part D - D.10 exclusivity, expenses and our own costs

D.10 We would ask for exclusivity for the period stated in the process summary delivered with this Proposal, running from acceptance. The period is shorter than we understand the Company has been asked for elsewhere. We would waive it on the Company's written request if the Company tells us that exclusivity is an obstacle to considering this Proposal at all.

D.11 The Company would reimburse the reasonable fees of counsel to the Investor Group only on Completion, capped at the amount stated in the engagement schedule attached to the process summary. If the financing does not complete, each side bears its own costs, including ours. We do not ask for a break fee in any circumstance.

Annex 1, Part D - D.12 non-binding effect, confidentiality and expiration

D.12 This Proposal is an indication of interest. It creates no obligation on the Company or on Northgate Crossing Partners other than the confidentiality undertaking in D.13 and the exclusivity undertaking in D.10 if the Company accepts it. It is subject in all respects to the Subscription Agreement and the other definitive documents, and no obligation to subscribe arises until those documents are executed.

D.13 The Company may disclose this Proposal to its directors, its officers, its counsel and its existing holders of preferred stock, and as required by law. We ask that it not be disclosed to any other person, and in particular not to another prospective investor, without our consent. We will keep the material the Company gives us confidential on the same basis.

D.14 This Proposal expires on the date stated in the process summary if it has not been countersigned by the Company by then. The Company did not countersign it, and the copy retained in our files carries no Company signature. We remain willing to discuss it and would not treat the expiration as the end of our interest in the Company.

D.15 Northgate Crossing Partners is an investment adviser and this Proposal is not an offer of securities, an offer of advisory services, or marketing material for any fund. Nothing in it should be read as a recommendation to the Company's existing holders about their own interests, on which they should take their own advice.

Annex 1, Part D - D.16 references and how we would like to be evaluated

D.16 We would be glad to give the Company references from three chief executives of companies we have led, one of which we have since exited and one of which had a difficult year while we were on the board. We would prefer the Company to speak to the difficult one. We will make the introductions on request and will not ask what was said.

D.17 We ask the Company to evaluate this Proposal against the alternative on the terms that will actually govern rather than on the headline valuation. The three differences we regard as material are the treatment of the incentive reserve in A.5, the absence of participation in A.7 and the length of the consent list in B.4. The first of those makes our headline valuation look lower than it is.

D.18 If the Company decides to proceed with the other firm, we would appreciate being told before the Company signs, and we would not ask for a chance to improve our terms unless the Company invites it. We have found that an auction conducted after a decision has been made damages the company that runs it.

Letter - our view of the sector and of the Company's position in it

The operators who buy autonomous mobile robots have moved from pilots to fleets, and the constraint has moved with them. Two years ago the question was whether a robot could work in a live facility. Now the question is whether a hundred of them can work alongside people and existing conveyance without a full redesign of the facility. That is an orchestration problem, and it is where we think the Company is ahead.

We are less positive about the hardware. The Company's current platform is competitive but not differentiated, its bill of materials depends on a single-source module we would want dual-sourced, and its assembly footprint is small enough that a large order would strain it. We have priced the Company on the software and treated the hardware as a route to market rather than as the asset.

We would expect the Company to face a well-funded competitor within two years, most likely a warehouse execution software vendor that adds robot control rather than a robot maker that adds software. That expectation is the reason we have not asked for a tranche: we think the Company needs to be able to spend against that threat without asking us to release capital.

Letter - what we would expect to work on after Completion

In the first year after Completion we would want to help with three things. The first is the second source for the constrained module, which we have done twice before and where we can make introductions. The second is the service margin, which we cannot presently see by contract type and which we suspect is the difference between a good year and a flat one.

The third is the commercial motion. The Company sells to operations leaders and is beginning to sell to the people who own the facility plan, which is a different sale with a longer cycle and a larger contract. We would want to hire ahead of that shift rather than after it, which is the main reason we support a reserve increase sized against a hiring plan rather than fixed today.

We would not expect to be involved in the product roadmap beyond asking about the supplier dependency, and we would not expect to place our own operating people in the Company. Where we have done that in the past it has worked when the founders asked for it and failed when we suggested it.

Annex 1, Part A - A.12 the pricing summary and what it contains

A.12 The pricing summary delivered with this Proposal carries the pre-money valuation, the aggregate subscription amount, the subscription price, the preference multiple, the dividend rate, the indebtedness threshold in B.4, the holding level at which the designation right in B.1 subsists, the consent response period in B.6, the exclusivity period in D.10 and the named affiliates for the purposes of A.10.

A.13 The summary is a separate document because the deal team may revise it after the Confirmatory Review, and we would rather revise a one-page summary than reissue this Proposal. A revision to the summary would be delivered in writing and would identify what changed and why; the terms in this Annex would be unaffected unless the revision says so.

A.14 If the pricing summary and this Annex conflict, this Annex governs as to the structure of a term and the summary governs as to its value. We have separated them on that basis so that neither document has to be read twice.

Annex 1, Part D - D.19 the documents we would use and how we would draft them

D.19 Counsel to the Investor Group would draft the Subscription Agreement, the amended charter and a joinder to the Company's existing transfer restriction agreement from our house forms. Our forms are shorter than the market forms the Company will have seen, principally because our consent list is shorter and because we do not carry a registration rights agreement as a separate document.

D.20 We would not ask the Company to restate its existing stockholder agreements. Where a right we have described in Part B or Part C already exists in an agreement the Company has, we would take it by joinder and leave the agreement alone. Where it does not exist, we would add it to the Subscription Agreement rather than open a second document.

D.21 We would give the Company a full mark-up turnaround rather than a partial one, and we would not send comments on a document we have not finished reading. If a point is one we cannot concede we would say so on the first turn rather than the third, which is the only process undertaking in this Proposal we would ask the Company to hold us to.